

What to Keep, and For How Long

A record-keeping guide for South African businesses

WHO THIS IS FOR

Owners who are not sure what they may throw away, and are afraid to throw anything away.

WHAT IS INSIDE

- Retention periods by record type
- The rules on digital copies and cloud storage
- A folder structure you can set up this week
- What to hand over if SARS asks

South Coast Advisory (Pty) Ltd

Suite 3, First Floor, 22 Rosslyn Road, Amanzimtoti, 4125
031 903 4787 · sca-za.com

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The three sets of rules

Retention is governed by more than one law at once, and the longest period wins. Tax legislation, the Companies Act and employment legislation each impose their own minimums.

RECORD	MINIMUM RETENTION	DRIVEN BY
Records supporting a tax return	5 years from the date the return was submitted	Tax Administration Act
Records where a return was not submitted	5 years from the end of the period, and indefinitely while an audit or objection runs	Tax Administration Act
Company records, registers and minutes	7 years	Companies Act
Annual financial statements	7 years	Companies Act
Payroll records and certificates	5 years	Tax Administration Act
Employment contracts and personnel files	3 years after employment ends	BCEA
Attendance and overtime records	3 years	BCEA
VAT records and tax invoices	5 years	VAT Act

Where an audit, objection, appeal or dispute is running, keep everything connected to it until the matter is finally resolved, whatever the table says.

Digital copies are acceptable, with conditions

- Electronic records are acceptable provided they are complete, readable and can be produced when asked for.
- They must be kept in a form that allows SARS to access and inspect them, and they should remain available for the full retention period.
- Attaching the source document to the transaction in your accounting system satisfies this and makes retrieval trivial. This is one of the practical arguments for cloud accounting.
- A photograph of a faded till slip taken on the day beats a blank slip found in a drawer three years later.

A filing structure that works

Organise by year, then by category. Every business we take on that already does this has a shorter, cheaper year end.

- 01 Bank — statements per account, per month
- 02 Sales — invoices issued, credit notes, customer contracts
- 03 Purchases — supplier invoices, supplier statements
- 04 Payroll — payslips, EMP201s, EMP501s, IRP5s, contracts
- 05 VAT — returns, working papers, VAT control reconciliations
- 06 Tax — returns, assessments, SARS correspondence
- 07 Company — CIPC filings, registers, minutes, share certificates
- 08 Assets — purchase invoices, finance agreements, asset register
- 09 Insurance and contracts — policies, leases, service agreements
- 10 Year end — trial balance, financial statements, journals

If SARS asks

- ☐ Read the letter and diarise the deadline immediately — the periods are short and strictly applied
- ☐ Send exactly what was asked for, no more
- ☐ Keep a record of what you sent and when
- ☐ Where a document genuinely does not exist, say so in writing rather than staying silent
- ☐ Tell your accountant the day it arrives, not the week before the deadline

What you may safely destroy

- Records past every applicable retention period, provided no dispute or audit touches them.
- Duplicates, once you are certain the original or a complete digital copy exists.
- Destroy paper containing personal information securely — POPIA applies to disposal too, not just storage.

Would you rather not do this yourself?

We have kept books, filed returns and run payrolls from Amanzimtoti since 1980. Twenty minutes on the phone costs nothing and usually saves something.

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This document is general information about South African accounting and tax practice. It is not advice for your particular circumstances, and rules change — usually with the annual Budget. Confirm anything you intend to rely on.